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Yageo Corp. | Asia Pacific

TDK-Taiyo Yuden MOU: high-end wall rises; cycle thesis intact

The MOU validates AI-driven high-cap MLCC tightness, which supports pricing and our MLCC up-cycle view.

TDK and Taiyo Yuden (both covered by Shoji Sato) signed an MOU to explore an alliance in advanced MLCCs/inductors – including manufacturing/procurement cooperation, potential METI subsidies under Japan's Economic Security Act, and a possible future capital tie-up.

Our take: We estimate MLCC demand next year at more than 40bn units of 47uF+, which crowds out midrange/low-end MLCC capacity.

1. We believe de-specing to $\leq 22\mu\text{F}$ MLCCs is not a viable workaround. Substituting high-cap MLCCs with larger counts of lower-capacitance parts requires broad real estate that simply does not exist on today's densely packed GPU/accelerator boards.
2. Switching to tantalum-polymer capacitors merely trades one shortage for another, given equally tight tantalum supply.
3. So the only realistic industry response, in our view, is reallocating midrange/low-end MLCC capacity toward high-cap production. That would structurally tightens midrange/low-end supply, underpinning broad-based pricing power.

Things to watch:

- Whether a capital alliance materializes,
- METI subsidy size (this determines how distorted the high-end cost curve gets),
- Counter-move by Murata (also covered by Shoji Sato) counter-move, and
- Any sign the alliance extends into mid-cap products.

See our latest report on MLCC here: [Global Technology: MLCC: Continued Demand Growth for High-Value-added Products for AI & Data Centers \(15 Sep 2026\)](#)

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Yageo Corp. (2327.TW, 2327 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$1,050.00
Up/downside to price target (%)	92
Shr price, close (Sep 29, 2026)	NT\$548.00
52-Week Range	NT\$1,220.00-166.50
Sh out, dil, curr (mn)	1,997
Mkt cap, curr (mn)	NT\$1,094,281
EV, curr (mn)	NT\$1,111,021
Avg daily trading value (mn)	NT\$19,745

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	11.51	19.79	32.11	43.41
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	11.61	19.40	31.20	46.01
Revenue, net (NT\$ mn)	132,930	182,769	251,501	306,659
EBITDA (NT\$ mn)	39,635	59,579	93,057	122,922
ModelWare net inc (NT\$ mn)	23,634	40,652	65,937	89,152
P/E	20.1	27.7	17.1	12.6
P/BV	2.7	5.2	4.4	3.7
RNOA (%)	12.0	20.5	35.2	49.2
ROE (%)	14.5	23.4	30.4	34.6
EV/EBITDA	12.4	18.1	11.1	8.0
Div yld (%)	2.2	1.1	2.2	3.5
FCF yld ratio (%)**	6.6	4.2	6.3	8.0
Leverage (EOP) (%)	9.6	(15.4)	(30.7)	(42.2)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Yageo Corp. (2327.TW)

Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.8% (risk-free rate 1%, equity risk premium 6.8% and beta of 1.1), medium-term growth rate 12%, terminal growth rate 3%.

Risks to Upside

- Faster-than-expected revenue/profit recognition from stronger AI server/notebook demand
- Further price hikes led by stronger pricing power arising from better demand and/or tighter supply

Risks to Downside

- A sudden bursting of demand for AI
- Inventory risk
- Consumer electronics demand risk

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(as of August 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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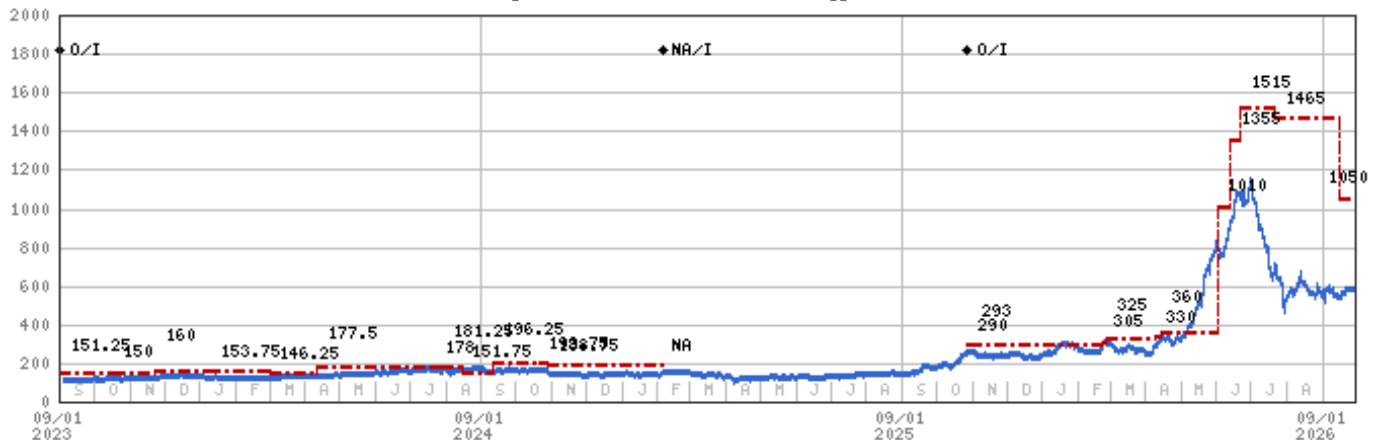
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Stock Price, Price Target and Rating History (See Rating Definitions)

Yageo Corp. (2327.TW) - As of 09/29/26 GMT in TWD
Industry : Greater China Technology Hardware



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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/29/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.98
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb166.90
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.36
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.37
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.23
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb392.91
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$882.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.20
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.11
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,020.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.02
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.98
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$5.54
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$54.15
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.40
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.48
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.07
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb70.30
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$36.84
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb53.49
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$62.70
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb255.99

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.51
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$25.20
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb407.95
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$167.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb107.39
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.51
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb813.01
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,060.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$21.72
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb30.72
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,810.00
Advantech (2395.TW)	O (01/20/2021)	NT\$730.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,210.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,400.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$35.05
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,630.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,445.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.71
Chenbro (8210.TW)	O (07/23/2025)	NT\$877.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,185.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,835.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$142.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$68.10
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,515.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$335.50
Innolux (3481.TW)	E (04/07/2025)	NT\$49.75
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,115.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb31.46
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$281.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.77
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.29
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb197.10
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.40
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$963.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$205.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.05
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$4,920.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$4.93
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb58.42
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$362.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,120.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb67.18
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$48.68
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,650.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$35.48
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,710.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,270.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$336.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb132.98
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb375.60
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,165.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$543.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$185.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,100.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$548.00
Zhen Ding (4958.TW)	++	NT\$498.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$498.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,485.00

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* Historical prices are not split adjusted.